

Report on the Sustainability of the Company

Overview

Sustainability of the Company is the key element which is incorporated to the Corporate Governance frame work where the utilization of resources efficiently and environmentally responsible provision of services that deliver sustainability benefits which can leverage commercial advantage for the Company. Based on each stakeholder expectations and company desire to deliver sustainable stakeholder values over time, the Company designed appropriate strategies to face the challenge of fulfilling stakeholder expectations.

The key business drives for sustainability are internal operations and stakeholder engagement. The first focuses on our internal operations and provision of our services more efficiently using limited resources. This approach helps us to reduce costs of supply of services and at the same time reduces our impact on the environment. The second approach focuses on our partnerships with our stakeholders. Stakeholders are any individual or party that has an interest in our Group, and who are affected by or can affect our organizational activities. Partnerships help to build trust among our key stakeholders and to reach better understanding on a variety of issues. It can also pave the way for more successful solutions to problems, concerns and challenges.

Impact on Economic Performance

In economic performance, Company focused on operational excellence across all its business divisions and value addition to economic development. Operational excellence measured in terms of efficiency and effectiveness of internal process, improvements to processes and reduces waste. Further investment in IT/ ERP helps measurement of operational results on time with increase accuracy.

Ceylon Land & Equity PLC

Sustainability Policy and Guidelines

Identify the stakeholders and rate them in line with the degree of influence and importance. Such stakeholders thus identified are,

- Investors
- Customers
- Key suppliers and business partners
- Environment

Ceylon Land & Equity PLC has formulated sustainability strategies to create value for those identified stakeholders. We have created formal and informal channels in line with ultimate Group (Renuka Holdings PLC) policies to develop effective communication systems and engagement programs to involve our stakeholders and implement continuous monitoring systems through the management team in order to gauge our impact on the stakeholders.

Ceylon Land & Equity PLC has strived to ensure that all processes will not knowingly harm people and will minimize the negative impact our businesses will have on human life as well as environment.

Our Stakeholder Engagement Process

Investors Support

Shareholder engagement is important to have access to growth capital and in turn provide a sound return to them. In meeting global challenges and evolving consumer needs we must be geared to be proactive with new ideas and investment opportunities and ready with the output as well. When we operate according to these principles the shareholders should realize a fair return.

Report on the Sustainability of the Company Contd..

Method of Engagement

- We have open doors policy which enables shareholders to keep in contact, visit and obtain information from the Company Secretaries and engage in dialogue.
- Further e-mail address has been provided for comments and suggestions.
- Update with latest financials for shareholders/ investor to take rational decisions which is very important.
- We report company performance in timely and relevant manner through quarterly Financial Reports and Annual Report published in the Colombo Stock Exchange web site.
- We hold Annual General and Extra Ordinary meetings to communicate with our shareholders.

Our Concern

Our concern is to increase the return on investment, sustainable profitability, good governance and transparency in carrying out group operations.

Customers Support

The Company uses its competencies and decades of experiences to identify the needs and wants of our customers in order to provide quality product and services creating value-for-money.

Suppliers Support

We always try to build business relationships all over the world and not only centered in Sri Lanka.

Renuka Group considers engagement to be an increasingly important component of its corporate citizenship strategy. Our engagement efforts help Renuka Group identify those issues that are most material to our business operations and shape our approach to addressing a range of areas relating to the financial, social and environmental performance of the organization.

Report on the Risk Management

Risk Management is an integral part of our business, since management of risks against returns is a critical trade off decision, businesses have to make every day when it comes to investment and operational decision making. Proactive risk management is vital for the Group since our business is exposed risk arising out of economic, demographic and political factors.

Each Business sector of the Company carries out sector risk assessments on periodic basis and reviewed at the Group management meetings.

We reviewed and refined our investment and business processes balancing objectively with responsiveness and flexibility. The aim was to lay a sound foundation to integrate our risk management activities as part and parcel of our business operations.

Our Approach to Risk Management

Our definition for risk is the potential occurrence of an external or internal event that may negatively impact our ability to achieve the Company's business objectives. The process of embedding risk management system within our company systems and procedure can be outlined as below:

1. Identify Controls that are already operating
2. Monitor those controls to ensure their effectiveness
3. Improve and refine as per the requirement
4. Document evidence of monitoring and control operation

Ceylon Land & Equity PLC follows the risk management governance framework of Renuka Group set by the Ultimate Parent Company.

Company's risk management framework takes into account the range of risks to be managed, and summery in to below categories.

01. **Strategic Risk** - A possible source of loss that might arise from an unsuccessful strategic decision taken by the organization. These content strategies related to growth and strategic positioning which ultimately affect the overall mission of the Company.

02. **Operational Risk** - is the potential loss that might arise in business operation resulting from inadequate or failed internal processes, people and system or external events which ultimately affect the day to day activities of the Company.

03. **Financial Risk**- The likelihood of loss inherent in financing procedures which may weaken the ability to deliver adequate return to the Company. This may include liquidity risk, currency risk, and interest rate risk.

The systems and standard operating procedures and processes are in place to deal with these risks, and the chain of responsibility within the organization to monitor the effectiveness of our mitigation measures.

Enterprise Risk Management Process

Risk Identification, Prioritization and Assessment

As the initial step of the risk framework, it is important to identify risks for effective management. Ceylon Land & Equity PLC identifies all the risks by key stakeholders. We consider risk identification to be a key component of a robust risk management framework. In the absence of a proper risk identification process, the organization is incapable of effectively managing its key risks.

We evaluate risks according to the likelihood of occurrence and magnitude of impact. This assessment provides a prioritized risk list, identifying those risks that need the most urgent attention.

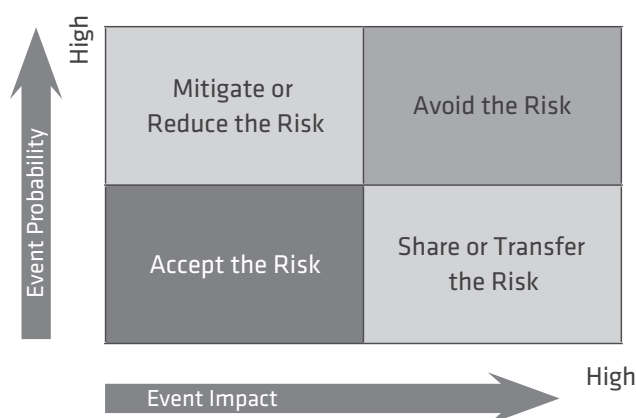
		Impact		
		Low	Medium	High
Probability	High			
	Medium			
	Low			

Report on the Risk Management Contd..

Develop Risk management Strategy

The Risk management strategies address how Group intend to assess risk, respond to risk and making explicit and transparent the risk perceptions that organization routinely use in making both investment and operational decisions.

The above concept has been embedded with risk mapping in order to develop a robust framework to determine an appropriate risk management strategy as shown below.



The Risk Management process in place ensures the clear allocation and segregation of responsibilities relating to risk identification, assessment, mitigation, monitoring, control and communication. We have in place several measures to strengthen our risk management process which are linked to our business processes. These include policies to mitigate business risks along with the upgrading of the support system that enable easy monitoring and management risks.

The main categories of risks that we take into account in the pursuit of our business goals are detailed below

Strategic Risk

Risk	Impact	Risk Management Strategies
Competitive Risk		
Risk to the Group's reputation and Brand image	Reduced market share and rates reducing revenue, cash flow and profitability.	Aim to have a broad appeal in price, range and format in a way that allows us to compete effectively in different markets.
	Increased promotional expenditure.	
	The positive correlation between cost of resources and competition.	Formed strategic relationships with a diverse pool of suppliers, enabling flexibility in pricing contracts and hedging mechanisms are used wherever possible to mitigate exposure to commodity price fluctuations.
		The Company's service excellence, uniqueness of properties, innovative product and service developments and the strength of its brands enables the Group to eliminate threats from new and existing players.

Report on the Risk Management Contd..

Strategic Risk

Risk	Impact	Risk Management Strategies
Operational Risk		
IT systems and infrastructure	Inability to obtain timely and accurate information due to failures in IT systems.	Implementation of effective IT infrastructure and to ensure consistency of delivery.
	Potential disruption to operations.	Engage with service providers to mitigate IT related risks through effective policy and procedures as well as increased awareness.
	Significant financial losses.	Implementation of a comprehensive IT policy within the Group, supported by adequate systems and controls, ensure the safety and security of data. Contingency plans are in place to mitigate any short term loss on IT services.
		All shared service divisions are bound by the code of conduct to safeguard the Group's information, irrespective of its physical form.
		A dedicated central IT team is in place to support all IT related aspects of the Group.

Report on the Risk Management Contd..

Operational risk contd...

Risk		Impact	Risk Management Strategies
Operational Risk			
Legal Compliance	Regulatory	Risk of legal action due to non performance of legal and statutory requirements. Result high cost of legal and penalty fees that reduce profitability. Adversely impact to the Groups' reputation and brand image.	The legal support services to Renuka Group management come through the legal department which ensure all legal and regulatory provisions are complied with. The legal function pro-actively identified and sets up appropriate system and processes for legal regulatory compliance in any foreign country that we operate in, and in such instances through legal council retained in those environments. Internal audit function of the Group ensures the safeguarding of company assets and recommends process improvements in areas where process control failure are noted. The operations of the Ceylon Land & Equity PLC come within the rules and regulations applicable to companies listed on the CSE and regulations applicable to securities trading set by the Securities and Exchange Commission of Sri Lanka. Our systems and processes are structured to satisfy the criteria set by these regulations.

Report on the Risk Management Contd..

Operational risk contd...

Risk	Impact	Risk Management Strategies
Breakdown of Internal Controls	Wastage of management Time and resources. Possible loss of data. Increased possibility of fraud and misuse. Disruptions to the normal course of operations. lack of ability to track performance against budgets, forecasts and schedules.	Regular reviews of the effectiveness of internal controls by the corporate internal audit department supplemented by regular management audits carried out by internal teams within the Group ensures the robustness of internal controls. The Company uses comprehensive general and specific reporting and monitoring systems to identify, assess and manage risks. Internal auditors are also engaged to carry out special reviews wherever necessary. The Company uses comprehensive general and specific reporting and monitoring systems to identify, assess and manage risks. Ensuring that only trained, trustworthy, knowledgeable and competent personnel perform tasks which in turn, prevents errors, irregularities and fraud.

Financial Risk

Financial risk management obligations and policies have been described in note No. 22 to the Financial Statements.

Report of the Audit Committee

The Board appointed the Audit Committee to be in line with the Code of the Best Practice on Corporate Governance and the requirement of the Securities and Exchange Commission for Public Listed Companies. The Audit committee functions, authority and duties have been clearly identified in the Audit Committee Charter.

Role of the Audit Committee

The main role and the responsibilities of the Audit Committee include;

- Assisting the Board in discharging its responsibilities by satisfying the Board oversight responsibilities in relation to quality and integrity of the Financial Statements of the Company. This includes preparation, presentation and adequacy of disclosures in the Financial Statements in accordance with Sri Lanka Accounting Standards.
- The overall responsibility in ensuring that the Internal controls systems and risk management systems of the Company are adequate and comply with legal and regulatory requirements.
- Oversight responsibility to ensure compliance in relation to financial reporting requirement and the information requirement as required by Companies Act No. 07 of 2007 and other relevant financial reporting related regulations and requirements.
- Assessing the independence, qualifications and performance of External Auditors.
- Making recommendations to the board pertaining to appointment, re-appointment and removal of external auditors and approval of the remuneration and terms of engagement of the external auditors.
- Discussion of the audit plan, key audit issues and their resolution and management responses.
- Discussion of the Company's Annual Audited Financial Statements and Interim Financial Statements with management and the Auditors.

The Audit Committee also reviews the nature and extent of non-audit services provided by the auditors to ensure that auditors are able to maintain objectivity and independence.

Composition of the Audit Committee

The Audit Committee consists of three Non- Executive Directors of which two directors are independent who are appointed by, and are responsible to the Board of Directors.

Audit Committee Members

Mr. M. R. Ratnasabapathy – Chairman
(Independent Non-Executive Director)

Mr. K. Liyanagamage
(Independent Non-Executive Director)

Mr. T. A. P. Peiris
(Non-Executive Director)

Brief profiles of each member are given on page 4 of this Annual Report. Their individual and collective financial knowledge and business acumen and the independence of the Committee are brought to bear on their deliberations and judgments on the matters that come within the Committee's purview.

Audit Committee Meetings

The committee has met 4 times during the year under review on a quarterly basis. The attendance of the members of Audit Committee meeting is stated in the table below.

Name of Director	Eligible to Attend	Attended
Mr. M. R. Ratnasabapathy	4	4/4
Mr. K. Liyanagamage	4	4/4
Mr. T. A. P. Peiris	4	4/4

Report of the Audit Committee Contd...

Company Secretary acts as the Secretary to the Audit Committee. The Executive Director and Chief Financial Officer, attended the meetings by invitation. Other members of the Board, Management members as well as External Auditors were presented when required.

Charter of the Audit Committee

“Rules on Corporate Governance” under the listing rules of Colombo Stock Exchange and “Code of Best Practice on Corporate Governance” issued jointly by Institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka are followed.

Functions of the Audit Committee

The proceedings of the Audit Committee are regularly reported to the Board of Directors.

Controls and Risks

During the year, the Committee reviewed the effectiveness of the Company’s system of Internal Control. The Committee also assessed the major business and control risks and the control environment prevalent in the Company and advised the Board on action to be taken where weaknesses were observed. The Audit Committee is satisfied that the Company’s accounting policies and operational controls provide reasonable assurance that affairs of the company are managed in accordance with company policies and that Company assets are properly accounted for and adequately safeguarded.

External Audit

The Committee met with the External Auditors in relation to the scope of the audit and also to discuss the Key Findings at the conclusion of the Audit.

The Committee reviewed the Audited Financial Statements with the External Auditors who are responsible to express an opinion on its conformity with the Sri Lanka Accounting Standards. The External Auditors kept the Audit Committee advised on an on-going basis regarding any unresolved matters of significance.

The Audit Committee undertook the evaluation of the independence and objectivity of the external auditor and the effectiveness of the audit process. As far as the Audit Committee is aware, Auditors do not have any relationship (other than of Auditors) with the Company.

In addition, as required by the Company’s Act No 07 of 2007, the Committee has received a declaration from Messrs. KPMG confirming that they do not have any relationship with the Company, which may have a bearing on their independence.

The audit committee recommended to the board of directors that Messrs Ernst & Young Chartered Accountants to be appointed as auditors for the financial year ending 31st March 2025 subject to approval of shareholders at the Annual General Meeting and to authorize the directors to determine their remuneration complying with the code of best practices issued by SEC and CASL subject to approval shareholders at the Annual General Meeting.

Conclusion

The Audit Committee is satisfied that the internal controls and procedures in place for assessing and managing risks are adequately designed and operate effectively and is of the view that they provide reasonable assurance that the Company’s assets are safeguarded and that the financial statements of the Company are reliable. The Company’s External Auditors have been effective and independent throughout the year.

Sgd.
M. R. Ratnasabapathy
Chairman
21st August 2024

Report of Related Party Transactions Review Committee

The Related Party Transactions Review Committee (RPTR) was constituted with an objective of keeping in line with the Code of Best Practice on Corporate Governance and the requirement of the Securities and Exchange Commission with a view to ensure that the interests of shareholders as a whole are taken into account by Ceylon Land & Equity PLC and are consistent with the Code when entering into Related Party Transactions and made required disclosures in a timely manner. The committee has also adopted the Best Practices as recommended by the Institute of Chartered Accountants of Sri Lanka and Colombo Stock Exchange.

RPTR Committee of ultimate parent Company, Renuka Holdings PLC acts as the RPTR Committee of Ceylon Land & Equity PLC.

Composition of the Related Party Transactions Review Committee (RPTR)

The committee comprises three Independent Non executive Directors who are appointed by and responsible to the Board of Directors.

The Committee comprised of following members as at 31st March 2024.

Mr. T. K. Bandaranayake – Chairman
(Independent Non-Executive Director)

Mr. M. S. Dominic
(Independent Non-Executive Director)

Dr. J. M. Swaminathan
(Independent Non-Executive Director)

Brief profiles of each members are given below.

Mr T. K. Bandaranayake

Mr. T.K. Bandaranayake is an Independent Non- Executive Director of Renuka Holdings PLC which is the ultimate parent Company. He is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka. He was in public practice with Ernst & Young for 27 years since 1982. He was a Senior Partner managing a large portfolio of clients. He is also a Director of Nawaloka Hospitals PLC, Overseas Realty (Ceylon) PLC, Havelock City (Pvt) Ltd, Mireka Capital Land (Pvt) Ltd, Mireka Homes (Pvt) Ltd, Samson International PLC, Harischandra Mills PLC, and Browns & Company PLC.

Mr. M. S. Dominic

Mr. M.S. Dominic is an Independent Non-Executive Director and holds a BSc (Hons) degree in Computer Science from the University of South Bank, United Kingdom. He has over 38 years of experience in the Information Technology field. He is also Director of Renuka Foods PLC, Renuka Agri Foods PLC, Galle Face Capital Partners PLC and Sithi-jaya Fund. He is a trustee of the George Keyt Foundation. He is also Council of the University of Visual and Performance Art Colombo.

Dr. J. M. Swaminathan

Dr. J. M. Swaminathan is an Attorney-at-Law with over 60 years in practice and has been appointed as a Senior Instructing Attorney-at-Law by his excellency the president. He was the former Senior Partner of Messrs. Julius & Creasy. He was the member of the office for Reparations Sri Lanka. He has served as a Member of the Law Commission of Sri Lanka and Member of the Council of Legal Education and the Council of the University of Council. He is also a Member of the Company Law Advisory Commission and The Intellectual Property Law Advisory Commission. He is the Chairman of the Board of Studies of the Council of Legal Education and also a Consultant at the Institute of Advanced Legal Studies of the Council of Legal Education. He is a Member of the Visiting Faculty of the LLM Course of the University of Colombo. He also serves on the Boards of several public and private companies.

Related Party Transactions Review Committee Meetings

The Committee has met four times during the year under review on quarterly basis. The attendance of the members of committee meeting is stated in the table below.

NAME OF DIRECTOR	ELIGIBLE TO ATTEND	ATTENDED
Mr. T.K.Bandaranayake	4	4/4
Mr. M.S.Dominic	4	3/4
Dr. J.M.Swaminathan	4	4/4

Company Secretary acts as the Secretary to the Related Party Transactions Review Committee. The Executive Chairman and the Chief Financial Office attended the meetings by invitation.

Report of Related Party Transactions Review Committee Contd..

Policies and procedures of Related Party Transactions Review Committee

- Establishing and defining the threshold values of each listed related party transaction as per the Code which require discussion in detail and disclose.
- Identifying related party transactions that need pre-approval from the Board of Directors and need immediate market disclosure. And identify transactions that need shareholder approval and disclosure in the Annual Report.
- Formulating a standard template to implement to all listed subsidiaries in the Group to follow when documenting RPT when presenting to RPTR Committee.
- Establishing proper guide lines to identify recurrent & non-recurrent Related party transactions to review economic and commercial substance of the related party transaction.
- Establishing a method of having access to adequate knowledge or expertise to assess all aspects of proposed related party transactions where necessary and procedure for obtaining appropriate professional and expert advice from appropriately qualified persons.

- Providing guidelines which senior management must follow dealing with related parties.
- Quarterly review to ensure that adequate disclosures have been done in the market or Annual Report as required by the Code.
- The Committee communicates its comments/ observations to the Board of Directors after each review of related party transactions.

Task of the Committee

The Committee reviewed the related party transaction presented to them by the management and their compliance in Ceylon Land & Equity PLC and communicated the same to the Board of Directors.

The Board of Directors declared that no RPT falling within the scope of the Code was entered into by the Company during the financial year 2023/2024 other than discuss in Note No. 18 to the Financial Statements.

Sgd.
T. K. Bandaranayake
Chairman
21st August 2024

Report of the Remuneration Committee

Composition of the Committee

The committee consists of three non-executive directors who are independent. The members of the committee have wide experience and knowledge of the business industry we are engaged in.

The Remuneration Committee of ultimate parent Company, Renuka Holdings PLC, acts as the Remuneration Committee of Ceylon Land & Equity PLC.

Members of Remuneration Committee

Mr. M. S. Dominic - Chairman
(Independent Non- Executive)

Mr. T. K. Bandaranayake
(Independent Non-Executive)

Dr. J. M. Swaminathan
(Independent Non-Executive)

The brief profiles of Mr. M.S.Dominic, Mr. T.K. Bandaranayake and Dr. J.M.Swaminathan are given on page No 38 of this Annual Report.

Remuneration Committee Meeting Attendance

The Committee met once during the financial year under review. Attendances of the directors in such meetings are given below.

NAME OF DIRECTORS	ELIGIBLE TO ATTEND	ATTENDED
Mr. M. S. Dominic	1	1/1
Mr. T. K. Bandaranayake	1	1/1
Dr. J. M. Swaminathan	1	1/1

Independence of the Committee

The committee is independent from the management of the business and not involve in any business operations.

The scope of the Committee

- The committee study and recommends the remuneration policy of Directors & Key Management Personnel.
- Review the performances of Key Management personnel on periodic basis.
- The Committee recommends the remuneration based on the prevailing market rates and perquisites applicable to the Key Management personnel of the Company and makes appropriate recommendations to the Board of Directors for Approval.
- The Committee also carries out periodic reviews to ensure that the remunerations are in line with market conditions.

The Remuneration Policy is to attract and retain best professional managerial talent within the Renuka Group and also to motivate and encourage them to perform at the highest possible level. The Group has a structure and professional methodology in evaluate the performance of employees. The policy ensure equally and fairness between the various employees is maintained.

Activities during 2024

The Remuneration Committee reviewed the remuneration policy for Key Management Personnel and was satisfied that the existing framework was satisfactory. The total sum that was paid as Directors Remunerations in the year under review is set out in Note 18 to the Financial Statements.

Sgd.
M.S. Dominic
Chairman
21st August 2024

Report of the Nomination and Governance Committee

The Nomination & Governance Committee of Ceylon Land & Equity PLC as at 31st March 2024 was consisted of three Non- Executive Directors of which two Directors are independent.

The Nomination & Governance Committee of ultimate parent Company, Renuka Holdings PLC, acts as the Nomination Committee of Ceylon Land & Equity PLC.

Members of the Nomination and Governance Committee

Mr. M. S. Dominic - Chairman (Independent Non-Executive)

Mr. T. K. Bandaranayake (Independent Non-Executive)

Mrs. J.J.B.A.Rajiah (Non Executive Director)

Brief profiles of Mr. T. K. Bandaranayake and Mr. M. S. Dominic are given on page No. 38 and of profiles of Mrs. J.J.B.A.Rajiah is given Below.

Mrs. J. J. B.A. Rajiyah

Mrs. J. J. B. A. Rajiyah is a Non - Executive Director of Renuka Holdings PLC which is the ultimate parent Company. She has earned her B.Sc in Law with Management from the University of London and holds a MBA from the Postgraduate Institute of Management, University of Sri Jayawardenepura. She is an Executive Director on the Board of The Autodrome PLC since 2004 and serves in the capacity of the Marketing Director. She is also a Director of Renuka Group Limited, Renuka Enterprises (Pvt) Limited, Galle Face Properties Ltd and other Companies of the Renuka Group. She is also a Director of Tuckers (Pvt) Ltd and Tourama (Pvt) Ltd.

Attendance of Nomination and Governance Committee Meetings

During the financial year under review, the Committee had met once, with all members in attendance. The attendances of the meetings are given below.

NAME OF DIRECTORS	ELIGIBLE TO ATTEND	ATTENDED
Mr. M. S. Dominic (Chairman)	1	1/1
Mr. T. K. Bandaranayake	1	1/1
Mrs. J. J. B. A. Rajiyah	1	1/1

The directives of the Committee are,

- To identify suitable persons who could be considered to become Board member as a Non-Executive Director.
- To recommend to the Board the process of selection of Chairman and Deputy Chairman
- Make necessary recommendation to the board as and when needed by the Board

The Scope of the Committee is;

- To define and establish the nomination process for Non-Executive Directors,
- Lead the process of Board appointments and make recommendations to the Board.
- The Committee scope out the tasks such as assess skills required to be on the Board.
- Periodic review of the extent of skills required which are represent on the Board.
- Review description of role and capabilities required for a particular Board appointment and Identify and recommend suitable candidate to the Board.

Sgd.

M.S.Dominic

Chairman

Nomination & Governance Committee

21st August 2024

Statement of Directors' Responsibility

The Board of Directors of the Company is responsible for preparation and presentation of Financial Statements for the year ended 31st March 2024 in accordance with the requirements of the Sri Lanka Accounting Standards, the Listing Rules of the Colombo Stock Exchange and the Companies Act No. 7 of 2007.

As per the provisions of the Companies Act No. 7 of 2007, the Directors are required to prepare Financial Statements, for each financial year and presented before a General Meeting comprising:

- a. A statement of Income and Statement of Comprehensive Income of the Company which present a true and fair view of the profit or loss of the Company for the financial year
- b. A Statement of Financial Position, which presents a true and fair view of the state of affairs of the Company as at the end of the financial year together with explanatory notes to the Financial Statements
- c. A statement of changes in Equity which presents a true and fair view of the changes in the Company's retained earnings for the financial year
- d. A Cash Flow Statement which presents a true and fair view of the flow of cash in and out of the Company for the financial year; and notes to the Financial Statements and which comply with the requirements of the Act.

The Board of Directors are of the view that prevailing Corporate Governance frame, Internal Control systems, risk management policies established in the Company ensure that there are reasonable assurance that all assets are safeguard and all transactions are properly authorized by the management and recorded on time, hence any material misstatements or irregularities are prevented or bring to the notice of the management within a reasonable time.

The Directors are of the view that, in preparing these Financial Statements:

- a. The appropriate accounting policies have been selected and applied in a consistent manner, material deviations if any have been disclosed and explained;
- b. All applicable Accounting Standards, in accordance with the Sri Lanka Accounting Standards (SLFRS/LKAS) as relevant have been applied.
- c. Reasonable and prudent judgments and estimates have been made so that the form and substance of transactions properly reflected.
- d. It provide the information required by and otherwise complies with the Companies Act No. 7 of 2007, Listing Rules of Colombo Stock Exchange and requirement of any other regulatory authority as applicable to the Company.

Further the Directors have a responsibility to ensure that the Company maintains sufficient accounting records to disclose, with reasonable accuracy of the financial position of the Company and also to reflect the transparency of transactions and to ensure that the Financial Statements presented comply with the requirements of the Companies Act.

The External Auditors, Messrs. KPMG, Chartered Accountants, who were deemed reappointed in terms of the Companies Act No. 07 of 2007 were provided with every opportunity to undertake the inspections they considered appropriate to enable them to form their opinion the Financial Statements. The Report of the Auditors, shown on page 44-47 set out their responsibilities in relation to the Financial Statements. The Directors are also of the view that the Company have adequate resources to continue in operations and have applied the going concern basis in preparing these Financial Statements.

Statement of Directors' Responsibility Contd..

As required by Companies Act, the Board of Directors has authorized distribution of the dividend now proposed, being satisfied based on information available to it that the Company would satisfy the solvency test after such distribution in accordance with the Section 57 of the Companies Act, and have obtained/sought in respect of the dividend now proposed, a certificate of solvency from the Auditors.

Compliance Report

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the company, all contributions, levies and taxes payable on behalf of the Company and all other known statutory dues as were due and payable by the company as at the reporting date have been paid or where relevant provided for.

By order of the Board
Renuka Enterprises (Pvt) Ltd

Sgd.
Managers and Company Secretaries
21st August 2024